



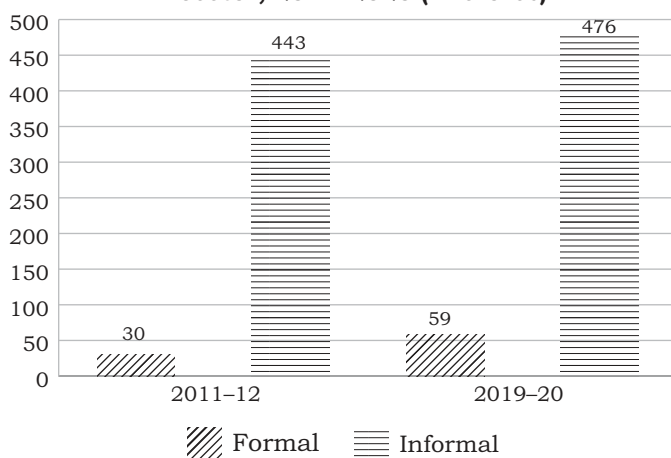
Fig. 6.4 Road side vending: an increasing variety of informal sector employment

Those who are working in the formal sector enjoy social security benefits. They earn more than those in the informal sector. Developmental planning envisaged that as the economy grows, more and more workers would become formal sector workers and the proportion of workers engaged in the informal sector would dwindle. But what has happened in India? Look at the following chart which gives the distribution of workforce in formal and informal sectors.

In 2019-20 there were about 535 million workers in India. There were about 59 million workers in the formal sector (Chart 6.4). Can you estimate the percentage of people employed in the informal sectors in the country? About only 11 per

cent ($59/535 \times 100$)! Thus, the rest 89 per cent are in the informal sector. In 2011-12, the year for which gender wise data on formal-informal sector employment is available about 20 per cent of formal sector and 30 per cent of informal sector workers were women.

Chart 6.4: Workers in Formal and Informal Sector, 2011-2020 (in crores)



Box 6.2: Informalisation in Ahmedabad

Ahmedabad is a prosperous city with its wealth based on the produce of more than 60 textile mills with a labour force of 1,50,000 workers employed in them. These workers had, over the course of the century, acquired a certain degree of income security. They had secure jobs with a living wage; they were covered by social security schemes protecting their health and old age. They had a strong trade union which not only represented them in disputes but also ran activities for the welfare of workers and their families. In the early 1980s, textile mills all over the country began to close down. In some places, such as Mumbai, the mills closed rapidly. In Ahmedabad, the process of closure was long drawn out and spread over 10 years.



Change in the balance of power in a house: an unemployed mill worker peeling garlic whereas his wife has a new job of beedi rolling.

Over this period, approximately over 80,000 permanent workers and over 50,000 non-permanent workers lost their jobs and were driven to the informal sector. The city experienced an economic recession and public disturbances, especially communal riots. A whole class of workers was thrown back from the middle class into the informal sector, into poverty. There was widespread alcoholism and suicides, children were withdrawn from school and sent to work.

Source: Renana Jhabvala, Ratna M. Sudarshan and Jeemol Unni (Ed.) *Informal Economy at Centre Stage: New Structures of Employment*, Sage Publications, New Delhi, 2003, pp.265.

Since the late 1970s, many developing countries, including India, started paying attention to enterprises and workers in the informal sector as employment in the formal sector is not growing. Workers and enterprises in the informal sector do not get regular income; they do not have any protection or regulation from the

government. Workers are dismissed without any compensation. Technology used in the informal sector enterprises is outdated; they also do not maintain any accounts. Workers of this sector live in slums and are squatters. Of late, owing to the efforts of the International Labour Organisation (ILO), the Indian government has



Work These Out

Tick (✓) mark against those which are in the informal sector

- Worker in a hotel which has seven hired workers and three family workers
- A private school teacher in a school which has 25 teachers
- A police constable
- Nurse in a government hospital
- Cycle-rickshaw puller
- The owner of a textile shop employing nine workers
- Driver of a bus company which has more than 10 buses with 20 drivers, conductors and other workers
- Civil engineer working in a construction company which has 10 workers
- Computer operator in the state government office working on a temporary basis
- A clerk in the electricity office.

initiated the modernisation of informal sector enterprises and provision of social security measures to informal sector workers.

any vacancy in their factory or office. Many in the rural areas do not go out and ask for a job but stay home when there is no work. Some go to

6.8 UNEMPLOYMENT

You might have seen people looking for jobs in newspapers. Some look for a job through friends and relatives. In many cities, you might find people standing in some select areas looking for people to employ them for that day's work. Some go to factories and offices and give their bio-data and ask whether there is



Fig. 6.5 *Unemployed mill workers waiting for casual jobs*



Fig. 6.6 *Sugar cane cutters: disguised unemployment is common in farm works*

employment exchanges and register themselves for vacancies notified through employment exchanges. The National Statistical Office (Previously it was known as National Sample Survey Organisation) defines unemployment as a situation in which all those who, owing to lack of work, are not working but either seek work through employment exchanges, intermediaries, friends or relatives or by making applications to prospective employers or express their willingness or availability for work under the prevailing condition of work and remunerations. There are a variety of ways by which an unemployed person is identified. Economists define unemployed person as one who is not able to get employment of even one hour in half a day.

There are three sources of data on unemployment : Reports of Census of India, National Statistical Office's Reports of Employment and Unemployment Situation, Annual Reports of Periodic Labour Force Survey, and Directorate General of

Employment and Training data of Registration with Employment Exchanges. Though they provide different estimates of unemployment, they do provide us with the attributes of the unemployed and the variety of unemployment prevailing in our country.

Do we have different types of unemployment in our economy? The situation described in the first

paragraph of this section is called open unemployment. Economists call unemployment prevailing in Indian farms as disguised unemployment. What is disguised unemployment? Suppose a farmer has four acres of land and he actually needs only two workers and himself to carry out various operations on his farm in a year, but if he employs five workers and his family members such as his wife and children, this situation is known as disguised unemployment. One study conducted in the late 1950s showed about one-third of agriculture workers in India as disguisedly unemployed.

You may have noticed that many people migrate to an urban area, pick up a job and stay there for some time, but come back to their home villages as soon as the rainy season begins. Why do they do so? This is because work in agriculture is seasonal; there are no employment opportunities in the village for all months in the year. When there is no work to do on farms, people go to urban areas and look for jobs.

6.9 GOVERNMENT AND EMPLOYMENT GENERATION

You may recall about the Mahatma Gandhi National Rural Employment Guarantee Act 2005. It promises 100 days of guaranteed wage employment to all rural households who volunteer to do unskilled manual work. The scheme based on this Act is one of the many measures the government has implemented to generate employment for those who are in need of jobs in rural areas.

Since Independence, the Union and State governments

have played an important role in generating employment or creating opportunities for employment generation. Their efforts can be broadly categorised into two — direct and indirect. In the first category, as you have seen in the preceding section, the government employs people in various departments for administrative purposes. It also runs industries, hotels and transport companies, and hence, provides employment directly to workers. When the output of goods and services from government enterprises increases, then private enterprises which receive raw materials from government enterprises will also raise their output and hence increase the number of employment opportunities in the economy. For example, when a government owned



Fig. 6.7 Dam construction work is a direct way of employment generation by the government

This kind of unemployment is known as seasonal unemployment. This is also a common form of unemployment prevailing in India.

Though we have witnessed slow growth of employment, have you seen people being unemployed over a very long time? Scholars say that in India, people cannot remain completely unemployed for very long because their desperate economic condition would not allow them to be so. You will rather find them being forced to accept jobs that nobody else would do, unpleasant or even dangerous jobs in unclean, or unhealthy surroundings. The Central and State governments take initiatives and generate employment to facilitate a decent living for low income families through various measures. These will be discussed in the following section.

steel company increases its output, it will result in direct increase in employment in that government company. Simultaneously, private companies, which purchase steel from it, will also increase their output and thus employment. This is the indirect generation of employment opportunities by the government initiatives in the economy.

Many programmes that the governments implement, aimed at alleviating poverty, are through employment generation. They are also known as employment generation programmes. All these programmes aim at providing not only employment but also services in areas such as primary health, primary education, rural drinking water, nutrition, assistance for people to buy income and employment generating assets, development of community assets by generating wage employment, construction of houses and sanitation, assistance for constructing houses, laying of rural roads, development of wastelands/ degraded lands.

6.10 CONCLUSION

There has been a change in the structure of workforce in India. Newly emerging jobs are found mostly in the service sector. The expansion of the service sector and the advent of high

technology now frequently permit a highly competitive existence for efficient small scale and often individual enterprises or specialist workers side by side with the multinationals. Outsourcing of work is becoming a common practice. It means that a big firm finds it profitable to close down some of its specialist departments (for example, legal or computer programming or customer service sections) and hand over a large number of small piecemeal jobs to very small enterprises or specialist individuals, sometimes situated even in other countries. The traditional notion of the modern factory or office, as a result, has been altered in such a manner that for many the home is becoming the workplace. All of this change has not gone in favour of the individual worker. The nature of employment has become more informal with only limited availability of social security measures to the workers.

In the last few decades, there has been rapid growth in the gross domestic product, but without simultaneous increase in employment opportunities. This has forced the government to take up initiatives in generating employment opportunities particularly in the rural areas.



Recap

- All those persons who are engaged in various economic activities and hence contribute to gross national product are workers.
- About two-fifth of the total population in the country is engaged in various economic activities.
- Men particularly rural men, form the major section of workforce in India.
- Majority of workers in India are self-employed. Casual wage labourers and regular salaried employees together account for less than half the proportion of India's workforce.
- About three-fifth of India's workforce depends on agriculture and other allied activities as the major source of livelihood.
- In recent years, the growth of employment has decelerated.
- During post-reform period, India has been witness to employment opportunities in the service sector. These new jobs are found mostly in the informal sector and the nature of jobs is also mostly casual.
- Government is the major formal sector employer in the country.
- Disguised unemployment is a common form of unemployment in rural India.
- There has been a change in the structure of the workforce in India.
- Through various schemes and policies, the government takes initiatives to generate employment directly and indirectly.



EXERCISES

1. Who is a worker?
2. Define worker-population ratio.
3. Are the following workers — a beggar, a thief, a smuggler, a gambler? Why?

4. Find the odd man out (i) owner of a saloon (ii) a cobbler (iii) a cashier in Mother Dairy or Milk Cooperative Society of your area (iv) a tuition master (v) transport operator (vi) construction worker.
5. The newly emerging jobs are found mostly in the _____ sector (service/manufacturing).
6. An establishment with four hired workers is known as _____ (formal/informal) sector establishment.
7. Raj is going to school. When he is not in school, you will find him working in his farm. Can you consider him as a worker? Why?
8. Compared to urban women, more rural women are found working. Why?
9. Meena is a housewife. Besides taking care of household chores, she works in the cloth shop which is owned and operated by her husband. Can she be considered as a worker? Why?
10. Find the odd man out (i) rickshaw puller who works under a rickshaw owner (ii) mason (iii) mechanic shop worker (iv) shoeshine boy.
11. The following table shows distribution of workforce in India for the year 1972-73. Analyse it and give reasons for the nature of workforce distribution. You will notice that the data is pertaining to the situation in India about 50 years ago!

<i>Place of Residence</i>	<i>Workforce (in millions)</i>		
	<i>Male</i>	<i>Female</i>	<i>Total</i>
Rural	125	69	195
Urban	32	7	39

12. The following table shows the population and worker population ratio for India in 1999-2000. Can you estimate the workforce (urban and total) for India?

<i>Region</i>	<i>Estimates of Population (in crores)</i>	<i>Worker Population Ratio</i>	<i>Estimated No. of Workers (in crores)</i>
Rural	71.88	41.9	$\frac{71.88}{100} \times 41.9 = 30.12$
Urban	28.52	33.7	?
Total	100.40	39.5	?

13. Why are regular salaried employees more in urban areas than in rural areas?
14. Why are less women found in regular salaried employment?
15. Analyse the recent trends in sectoral distribution of workforce in India.
16. Compared to the 1970s, there has hardly been any change in the distribution of workforce across various industries. Comment.
17. Do you think that during 1950-2010 employment generated in the country is commensurate with the growth of GDP in India? How?
18. Is it necessary to generate employment in the formal sector rather than in the informal sector? Why?
19. Victor is able to get work only for two hours in a day. Rest of the day, he is looking for work. Is he unemployed? Why? What kind of jobs could persons like Victor be doing?
20. You are residing in a village. If you are asked to advice the village panchayat, what kinds of activities would you suggest for the improvement of your village which would also generate employment.
21. Who is a casual wage labourer?
22. How will you know whether a worker is working in the informal sector?



SUGGESTED ADDITIONAL ACTIVITIES

1. Select a region, say a street or colony, and divide it into 3-4 sub-regions. Conduct a survey by which you can collect the details of activity each person living there is engaged in. Derive the worker-population ratio for all the regions. Interpret the results for differences in worker-population ratio for the different sub-regions.
2. Suppose 3-4 groups of students are given different regions of a state. One region is mainly engaged in cultivation of paddy. In another region, coconut is the main plantation. The third region is a coastal region where fishing is the main activity. The fourth region has a river nearby with a lot of livestock rearing activities. Ask all the four groups to develop a report on what kind of employment could be generated in the four regions.
3. Visit the local library and ask for *Employment News*, a weekly published by the Government of India. Go through each issue for the last two months. There will be seven issues. Select 25 advertisements and

fill in the following table (expand the table as needed). Discuss the nature of jobs in the classroom.

Items	Advertisement 1	Advertisement 2
1. Name of Office		
2. Department/company		
3. Private/public/joint venture		
4. Name of the post		
5. Sector—primary/secondary/ service		
6. Number of posts/vacancies		
7. Qualification required		

4. You might notice, in your locality, a variety of works being done by the government, for example laying of roads, desilting of tanks, construction of school buildings, hospital and other government offices, construction of check dams and houses for the poor etc. Prepare a critical assessment report on one such activity. The issues covered could be the following (i) how the work was identified (ii) amount sanctioned (iii) contribution of local people, if any (iv) number of persons involved — both men and women (v) wages paid (vi) is it really required in that area and other critical comments on the implementation of the scheme under which the work is being carried out.
5. In recent years, you may have noticed that many voluntary organisations also take initiatives to generate employment in hilly and dry land regions. If you find such initiatives in your locality, visit and prepare a report.



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